

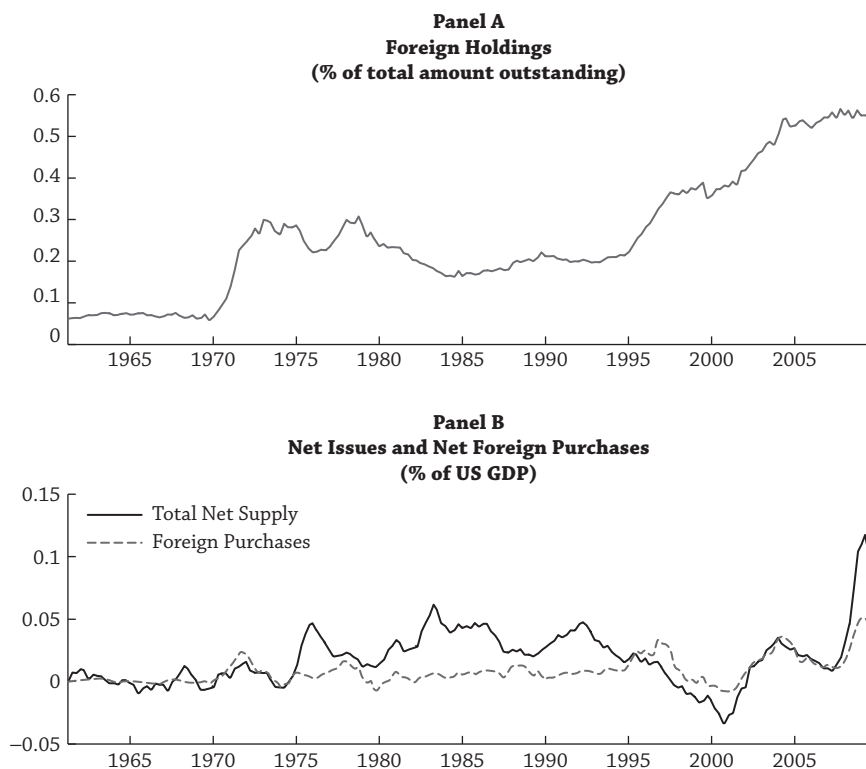


Figure 9.11

developments could be affecting bond prices, saying in 2007 that “strong foreign demand for U.S. long-term debt has been one factor tending to reduce the term premium.”²⁵

The modern clientele models based on Vayanos and Vila (2009) predict that the smaller the supply or the greater the demand, all else equal, the higher the prices of Treasuries and the lower their yields. The Vayanos–Vila framework would interpret certain classes of investors such as foreigners as demanding certain maturities for exogenous reasons—in China’s case, this could be to manage its exchange rate—and this foreign demand affects bond prices. Greenwood and Vayanos (2010), Hamilton and Wu (2012), and Krishnamurthy and Vissing-Jørgensen (2012) find supply effects in Treasuries consistent with the clientele model. Thus, actions by the Fed such as quantitative easing must be weighed along with demand from investors. This is related to how outstanding supply should affect optimal holdings of fixed income. We return to these topics in chapter 14 on factor investing.

²⁵ Speech by Fed Chair Ben Bernanke in 2007 at the Fourth Economic Summit, Stanford Institute for Economic Policy Research, Stanford University, <http://www.federalreserve.gov/newsevents/speech/bernanke20070302a.htm>.